

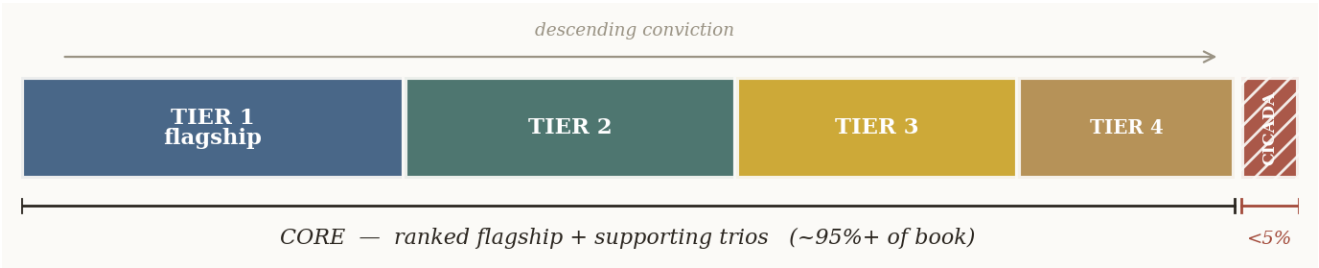
The Thales Playbook

Thales of Miletus read the winter sky, rented every olive press off-season while they were cheap, and let them out at his price when the harvest arrived — an edge of **knowledge**, expressed through **structure**, executed on **timing**. This card distills the method into one working reference.

THE STRATEGY

The foundation is a **ranked book of flagship trios**. Candidate sectors are put through the gauntlet, and each survivor is graded into a **probability tier** — set by the strength of its thesis, the cleanliness of all three seats, and the durability of its mechanism. The top tier is the **flagship** and carries the most conviction; lower tiers are supporting positions. Together the trios form the core of the book (~95%+).

The **Cicada Hunt runs on top as a curiosity, not a foundation** — a standing scan for dated, mispriced events that flags occasional asymmetric entry points. It is deliberately capped as a small opportunistic sleeve (**under 5% of the book**, deployed only as tickets present), never a pillar. The trios are the strategy; the cicada sleeve is option value bolted on top.



SECTOR BOOK — RANKED BY PROBABILITY TIER

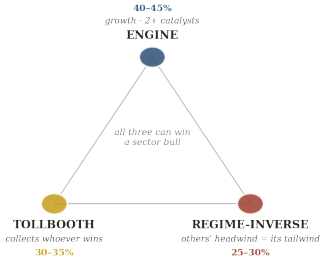
TIER	SECTOR	FLAGSHIP TRIO engine · tollbooth · inverse	WHY IT RANKS HERE
1 · FLAGSHIP	Uranium	NexGen · Cameco / Westinghouse · EQT	Cleanest current trio; the decline is thesis-external; structural supply deficit intact; dense dated catalysts.
2	Electrons	CATL · National Grid · Fluence	Founding book; best risk-adjusted backtest (+108% / –26%); durable US–China policy axis.
3	Metals	Gold · Wheaton · Platinum	Proven crash-recovery resilience (+36% / –29%); silver killed at K5 yet retained through Wheaton's streams.
4	Procurement	Xometry · Fastenal · RB Global	Valid trio, but the engine is richly valued post-run; the software tier has gone private — a structural finding.
— FINDINGS	Water · Shipping	no position taken	Water: regime-inverse seat unfillable, so no valid trio. Shipping: killed on timing at a front-page high.

Tiers are conviction rankings, not fixed allocations. A sector earns a tier only once a complete, gauntlet-surviving trio exists; “findings” are logged sectors that produced no valid book.

The Machinery

THE FIVE KILL CRITERIA

GATE	TEST	A LEG DIES WHEN...
K1 Viability	Cap & liquidity; no going-concern	Micro-float, or a plausible bankruptcy candidate
K2 Authenticity	Asset genuinely IS the thesis seat	Trades on an unrelated narrative (ERP sliver, conglomerate)
K3 Survival	Positive trailing yr; DD better than ~60%	Round-tripped -75% — failed holders whatever the moat
K4 Self-funding	No forced dilutive raise in window	Distressed rights issue (a raise at strength is a flag, not a kill)
K5 Non-red undancy	Corr below ~0.9 vs a filled seat	One bet wearing two hats — diversification in name only



Anti-goalpost rule: criteria may be amended only between runs, never mid-run. Every candidate needs a search-verified anchor; nothing is recalled from memory. Default weights are Engine 40–45 / Tollbooth 30–35 / Inverse 25–30, and no leg exceeds 60%. Inversion is claimed at the scenario level only — weekly prices will not decorrelate.

THE CICADA HUNT — A RUNNING CURIOSITY, UNDER 5%

A standing scan, **not a foundation**: it flags events whose date is already fixed by a biological, astronomical, legal, software-epoch, demographic, or infrastructure clock — dated certainties the market has forgotten to price. Survivors become small asymmetric tickets that self-liquidate on the event date. All five gates must pass.

GATE	PASSES WHEN...
1 Scheduled	The date is fixed in advance — not a probabilistic tail (a hurricane is a swan, not a cicada).
2 Long period	Recurrence is roughly seven years or more, so institutional amnesia is the edge.
3 Transmission	Who bleeds, who feeds, the mechanism and the lag are all explicitly mapped.
4 Obscurity	Loud in the trade press, silent in financial coverage. A sell-side preview within twelve months means it is priced — and killed.
5 Precedent	The last emergence justifies, in writing, the probability used to size the ticket.

Sizing. An EV floor of +0.30 per unit staked, where $EV = p(M-1) - (1-p)L$. Options are underwritten at 10× minimum payoff, pure-play equities at 3×. The whole sleeve is hard-capped; many small tickets beat one big one. This is opportunistic option value on top of the core — never a substitute for a flagship trio.

ATTRIBUTION & GRADING

RULE	IN PRACTICE
Macro moves ≠ mechanism	A rate-cut rally or a war-driven washout that moves every leg at once is the regime, not the thesis. Log it as a P&L event, not a graded prediction.
Grade the mechanism	Ask whether the pre-registered claim is still alive — not whether the line went up. Green P&L on a dead mechanism is a rejection that got lucky.
The inverse cuts both ways	When peace deflates the regime-inverse leg, that is the seat doing its job in reverse — not a broken leg.
Checkpoints are dated	Each run schedules its next review, usually the nearest earnings date; a kill is a conscious, logged act.

Standing frame. Everything here is **paper trading only** — a hypothetical learning ledger, not financial advice and not a solicitation. Backtests rest on coarse anchors from a single regime of history, with drawdowns understated versus daily reality. The method's product is not profit; it is **calibration**: written hypotheses, pre-registered kills, and honestly graded predictions. Reviewers are invited to attack the kill criteria hardest of all — that is where the method lives or dies.